

Girish Aggarwal vs Sandeep Tayal on 3 February, 2025

IN THE COURT OF JUDICIAL MAGISTRATE FIRST
CLASS (NI ACT), NORTH-WEST, ROHINI, DELHI
Presided by :- Ms. Shivangi Vyas

CNR No. DLNW020141912016
CC No. 23554/2016

Girish Aggarwal (Director)
M/s Nikunj Woods Pvt Ltd.
Located At M-3, B-11, Jhulelal Apartment
Pitampura, New
Delhi

.....Complainant

Versus

Sandeep Tayal (Proprietor)
M/s Vinayak Sales Corporation
Located at 1/95, WHS, Timber Market,
Kirti Nagar, New Delhi

.....Accused

JUDGMENT

(1) Offence complained of or proved : 138 N.I. Act (2) Plea of accused : Pleaded not guilty (3) Date of institution of case : 13.07.2012 (4) Date of reserve of order : 07.01.2025 (5) Date of Final Order : 03.02.2025 (6) Final Order : Convicted BRIEF STATEMENT OF REASONS FOR THE DECISION

1. The present complaint under section 138 of Negotiable Instruments Act (hereinafter referred to as 'NI Act') has been filed by Sh. Girish Aggarwal (hereinafter referred to as 'complainant') against Sh. Sandeep Tayal Shivangi by Shivangi Vyas Vyas Date: 2025.02.03 15:52:15 +0530 (hereinafter referred to as 'accused') for dishonor of cheques bearing number 481283 dated 02.04.2012, for a sum of Rs. 2,61,052/-, 481278 dated 23.03.2012, for a sum of Rs. 2,00,000/-, 481284 dated 02.04.2012, for sum of Rs.2,61,051/- and 481282 dated 02.04.2012, for a sum of Rs. 2,61,052/- all drawn on UCO Bank (herein after referred to as cheques in question).

FACTUAL MATRIX

2. Facts in brief as stated in the complaint are that the complainant is engaged in the business of trading in wood products and in course of business had supplied certain goods to accused concerned M/S Vinayak Sales corporation in lieu of which accused had issued the cheques in question for a total amount of Rs.9,83,155/- to the complainant. It is stated that the aforesaid cheques were dishonoured on 06.06.2012. It is stated that the complainant had sent a legal notice for payment of due cheques amount through his counsel on 14.06.2012 through registered post which was served upon accused. It is stated that accused refused to accept the same and neither made any payment

nor replied to the legal notice. Thereafter, the present complaint was filed.

3. Complainant tendered his pre-summoning evidence on 02.11.2016 by way of affidavit EX CW1/A and relied upon following documents in his evidence :

Shivangi Vyas Vyas Date:

2025.02.03 15:52:23 +0530 Ex CW1/1 : Notice for due payment. Ex CW1/2 : Returned envelope. Ex CW1/3 : Acknowledgment card. Ex CW1/4 : Original cheque bearing no.481282. Ex CW1/5 : Original cheque bearing no.481284. Ex. CW1/6 : Original cheque bearing no.481278. Ex. CW1/7 : Original cheque bearing no.481283. Ex. CW1/8 : Return memo of cheque no. 481278. Ex. CW1/9 : Return memo of cheque no. 481283. Ex. CW1/10 : Return memo of cheque no. 481282. Ex. CW1/11 :Return memo of cheque no. 481284.

APPEARANCE OF ACCUSED AND PROCEEDINGS

4. Since prima facie offence u/s 138 of Negotiable Instrument Act was made out, the accused was summoned vide order dated 02.11.2016. Accused entered his appearance and notice was served upon him for offence punishable u/s 138 NI Act on 03.03.2023, to which he pleaded not guilty and claimed trial.

5. In his plea of defense, accused has submitted that the cheques in question were given for security purpose and that he was not liable to pay cheques amount to the complainant. He stated that the cheques in question were filled by the complainant without his knowledge and that he had handed over payment in cash to the complainant against goods received by him. He stated that he has to check his record to ascertain his exact liability but he is not liable to pay the cheque amount to the complainant. He further stated that he is ready to pay the amount against which a decree has been issued against him in the civil court but in by Shivangi Shivangi Vyas Vyas Date:

2025.02.03 15:52:30 +0530 installments.

6. It was observed by the Ld. Predecessor of this court vide order dated 03.03.2023 that no plausible defence was raised by the accused and the matter was put for recording of statement of accused. An application u/s 145 (2) NI Act was moved on behalf of accused which was dismissed vide order dated 18.05.2023 passed by Ld. Predecessor of this Court.

STATEMENT OF ACCUSED AND DEFENCE
EVIDENCE

7. All the incriminating evidence was put to the accused and his statement under section 281 CrPC read with section 313 CrPC was recorded on 18.05.2023. In his plea of defence, accused has submitted that blank post dated cheques were issued to the complainant at the time of placing order as security and that they were never issued in discharge of any liability. He has stated that he got to

know about the dishonour of cheques after expiry of considerable period. He has stated that he has not received any legal demand notice and that his cheques were misused by the complainant. He has stated that goods were never delivered to them qua cheques and even the cheque amount do not tally with the books of account of complainant. He has stated that despite making repeated requests to complainant, goods were never taken back by him and complainant kept on gaining time. Thereafter, he presented his cheques with Shivangi by Shivangi Vyas Vyas Date: 2025.02.03 15:52:54 +0530 the bank and he got to know about presentation at a very late stage. He has stated that he even met the complainant when he came to know about dishonor of cheques in question and even requested complainant to first grade the goods, supplied to him but complainant did not pay any heed to his request. He stated that complainant threatened him with dire consequences when he was sitting at his office. Thereafter, he received a notice from civil court which he attended and also requested complainant to settle the amount. A decree was issued against him and he tried to meet the complainant but complainant refused and informed about the filing of present case against him. He has stated that as soon as he came to know about the present case, he appeared before the Court.

8. Accused chose to lead defence evidence and examined only himself as DW-1 in his defence. He deposed that he had placed purchase orders by hand with complainant for supply of goods and had sent cheques in question alongwith those purchase order which were dt. 12.03.2014, 21.03.2014, 21.03.2014 and 21.03.2014. He stated that complainant did not supply the goods / wooden articles despite various requests made by him. He deposed that there was no similarity between the bill raised by the complainant and cheque amount as an amount of Rs. 783155/- was due however, the amount of cheques in question is R.983155/-. He was cross-examined by Ld. Counsel for complainant and discharged. No other witness Shivangi by Shivangi Vyas Vyas Date: 2025.02.03 15:53:02 +0530 was examined in defence and DE was closed vide order 23.08.2024.

FINAL ARGUMENTS

9. It is argued on behalf of complainant that complainant has been successful in establishing all the necessary ingredients of offence under section 138 NI Act. It is argued that cheques in question were issued in discharge of liability of accused for payment towards purchase of material. It is argued that accused himself has admitted purchase of material and also issuance of cheques to the complainant. It is argued that civil decree regarding the same transaction is already passed by the Ld. Civil Court in favour of complainant which is admitted by the accused. It is argued that accused has failed to raise any probable defence during the trial. It is argued that the statutory presumption of existence of legal liability lies in favour of complainant and accused has failed to rebut the same.

10. Per Contra, Ld. Counsel for accused has argued that no offence under section 138 NI act is made out against the accused as complainant did not supply the material as per purchase order. It is argued that security cheques of accused have been misused by the complainant. It is further argued that there is discrepancy in the bill amount and the amount of cheques in question which shows that accused did not have liability to pay the cheques amount. Ld. Counsel for Shivangi Vyas Vyas Date:

2025.02.03 15:53:09 +0530 accused has further argued that accused has already deposited the principal decretal amount in the civil court with respect to the same

transaction and he cannot be again held liable for dishonour of cheques given with respect to the same transaction.

LEGAL PROVISION

11. Before adverting to scanning the evidence under the lens of the law pertaining to the lis at hand, let us revisit the legal benchmark to be satisfied as enunciated in Section 138 of the Act.

Dishonour of Cheque for insufficiency, etc. of funds in the account: Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provision of this Act, be punished with imprisonment for a term which may extend to two years, or with fine which may extend to twice the amount of the cheque, or with both. Provided that nothing contained in this section shall apply unless--

(a) the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier;

(b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for Shivangi Vyas Vyas Date:

CC No. 23554/2016 Page No. 7 of 14 2025.02.03 15:53:14 +0530 the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, [within thirty days] of the receipt of information by him from the bank regarding the return of the cheque as unpaid; and

(c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or as the case may be, to the holder in due course of the cheque within fifteen days of the receipt of the said notice.

Explanation.--For the purposes of this section, "debt or other liability" means a legally enforceable debt or other liability.

ANALYSIS

12. The essential ingredients that can be culled out from the statutory provision are:

i) Person must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account;

ii) The cheque should have been issued for the discharge, in whole or in part, of any debt or other liability;

iii) That cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity whichever is earlier;

iv) That cheque is returned by the bank unpaid, either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank;

v) The payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 30 days of the receipt of information by him from the bank
Digitally signed by Shivangi Shivangi Vyas CC No. 23554/2016 Page No. 8 of 14 Vyas
Date:

2025.02.03 15:53:19 +0530 regarding the return of the cheque as unpaid;

vi) The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice.

13. Being cumulative, it goes without saying that it is only when all the aforementioned ingredients are satisfied, the person who had drawn the cheque can be deemed to have committed an offence under Section 138 of the Act.

14. Averting to the facts of the present case, the cheques in question were admittedly issued by accused. The presentation and dishonour of cheques is depicted by cheque return memos Ex. CW1/8 to Ex CW1/11 which shows the reason for dishonor as 'Funds insufficient'. The complainant has affirmed in his affidavit that cheques were returned dishonoured due to the said reason and the testimony of complainant has remained unrebutted in this regard. Accused has also not disputed presentation and dishonour of cheques due to the aforesaid reason, although he has claimed to have attained knowledge of the same much later which does not disprove the factum of the presentation and dishonor of cheques.

15. Ld. Counsel for accused has argued that there was no legal liability upon the accused to pay the cheque amount. The existence of legal liability for payment of amount of cheque in question is one of the necessary ingredients that CC No. 23554/2016 Page No. 9 of 14 Digitally signed Shivangi by Shivangi Vyas Vyas Date: 2025.02.03 15:53:25 +0530 has to be established by the complainant. In order to correctly appreciate this ingredient in the light of the evidence placed on record by both the parties, it is necessary to revisit the provision under Section 118 and Section 139 of the Act.

16. Section 118 of the Act inter alia provides the presumptions as to negotiable instruments that until the contrary is proved, the presumption shall be made that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, endorsed, negotiated or transferred was accepted, endorsed, negotiated or transferred for consideration. Further, section 139 of the Act provides that it shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability.

17. It is clear from the conjoint reading of both the provisions that ordinarily in the cheque dishonour cases, what the courts ought to consider is whether the ingredients of the offence enumerated in Section 138 of the Act have been met and if so, whether the accused was able to rebut the statutory presumption contemplated by Section 139 of the Act.

18. Ld. Counsel for accused has argued that the liability Shivangi by Shivangi Vyas CC No. 23554/2016 Page No. 10 Vyas of 14 Date: 2025.02.03 15:53:30 +0530 of the accused is not of the cheque amount as the amount due as per bills was only Rs.7,83,155/- whereas the total amount of cheques in question is Rs.9,83,155/-. The accused has examined himself in his defence in order to substantiate its claim. However, in his testimony as DW-1, accused has failed to produce any document showing his actual liability as claimed by him. No bill or invoice raised by the complainant was placed on record nor any ledger or statement of account has been filed by him on record to show his actual liability. Further, during cross-examination conducted on the same day, accused has feigned ignorance regarding the value of material purchased by him and sold by the complainant, stating that he does not remember the same. Therefore, accused has contradicted himself in his testimony. During his cross-examination, accused failed to narrate the number of purchase orders, date or year of placing the orders or even the value of purchase orders placed by him. It appears that accused has only made a bald claim regarding discrepancy in the amount of bill and cheques amount but failed to substantiate the same through his testimony. Accused failed to prove the discrepancy in bill amount and cheques amount as claimed by him.

19. Accused has further admitted that a civil suit with respect to the same transaction as that of the cheque in question has been decreed against him and no appeal has been filed by him against the said decree. The amount of the decree as stated by the accused is Rs.9,00,000/- and not Shivangi Vyas Vyas Date:

2025.02.03 15:53:41 +0530 Rs.7,83,155/- which is the amount of bill claimed by him. It is pertinent to note that since the cheques were admittedly issued by the accused, there exist statutory presumption of existence of the liability of the cheque amount in favour of complainant and against accused. It was incumbent upon the accused to prove his defence that his liability was not of the cheque amount. However, accused failed to do so during the trial.

20. Considering the above discussion, it can be concluded that the accused failed to raise any probable defence regarding non-existence of the liability of the amount of cheques in question issued in favour of complainant.

21. Accused has also disputed the receipt of legal demand notice. The legal demand notice admittedly contained the correct address of the accused which he claimed to have left before the year 2012. The issuance of legal demand notice is established by the acknowledgment card by Department of Post Ex.CW1/3. The legal demand notice Ex.CW1/1 is correctly addressed and sent via post to the accused. There exist presumption of due service of the said notice via post in ordinary course of the business. When accused has claimed that he has left the said address before the year 2012, it was incumbent upon him to prove the same by leading independent cogent evidence in this regard. However, in the entire testimony of the accused, Shivangi Vyas Vyas Date:

2025.02.03 15:53:47 +0530 there is no whisper of any change of address as claimed by him. Therefore, the legal demand notice is presumed to be served upon accused in the absence of any evidence to the contrary.

22. Ld. Counsel for accused has further argued that accused has already paid the principal decretal amount regarding the same transaction in the civil court and therefore, he cannot be held liable for dishonour of cheques issued in respect of same liability. It is not the case of the accused that the amount was paid before the presentation and dishonour of cheques. The Hon'ble Supreme court of India in case titled as D. Purushotama Reddy & Anr vs K. Sateesh on 1 August, 2008 in CIVIL APPEAL NO. 4751 of 2008 has held that:

"7. The principal contention raised herein is that the Trial Court and consequently the High Court committed a serious error in decreeing the suit in its entirety, i.e., for a sum of Rs. 3,09,000/- with interest without taking into consideration the fact that an amount of Rs. 2,10,000/- had already been deposited by the appellants in the said criminal proceedings.

8. Contention of the respondent, however, is that as the said question was not and could not have been raised before the Trial Court, the impugned judgment is sustainable. It was furthermore urged that in view of the well-settled principle of law that Digitally signed by Shivangi Shivangi Date:

Vyas Vyas 2025.02.03 15:53:52 +0530 pendency of a criminal matter would not be an impediment in proceeding with a civil suit, the impugned judgment should not be interfered with.

9. A suit for recovery of money due from a borrower indisputably is maintainable at the instance of the creditor. It is furthermore beyond any doubt or dispute that for the same cause of action a complaint petition under terms of Section 138 of the Act would also be maintainable." (emphasis supplied) It is clear that the liability of the accused in a cheque bounce case is different from his liability under a civil suit and that both the cases can be prosecuted simultaneously with respect to the same transaction.

CONCLUSION

23. From the above discussion, it can be concluded that the complainant has established all the necessary ingredient of offence under section 138 NI Act. Consequently, this court finds the accused Sandeep Tayal guilty of offence under section 138, Negotiable Instruments Act, 1881 and convict him accordingly.

Announced in open court on 03.02.2025. Shivangi by Shivangi Vyas Date:

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(Shivangi Vyas)
JMFC(NI Act), North West
Rohini